

3-7 Chapter Review

3-7a Let's Review Chapter Summary

1. The accrual basis of accounting requires that revenues are reported in the period in which they are earned and expenses are matched with the revenues they generate. The updating of accounts at the end of the accounting period is called the adjusting process. Each adjusting entry affects an income statement and balance sheet account. The two general classifications for accounts requiring adjustment are accruals and deferrals. Accruals include accrued revenues and accrued expenses. Deferrals include unearned revenues and prepaid expenses.
2. Adjusting entries for accruals include accrued revenues and expenses. The adjusting entry for an accrued revenue debits Accounts Receivable and credits a revenue account such as Fees Earned. The adjusting entry for an accrued expense debits an expense account such as Wages Expense and credits a liability account such as Wages Payable.
3. Adjusting entries for deferrals include unearned revenues and prepaid expenses. The adjusting entry for an unearned revenue debits an unearned revenue account such as Unearned Rent and credits a revenue account such as Rent Revenue. The adjusting entry for an accrued expense debits an expense account such as Wages Expense and credits a liability account such as Wages Payable.
4. The adjusting entry for depreciation of a fixed asset debits Depreciation Expense and credits a contra asset account, Accumulated Depreciation. The book value of a fixed asset equals its cost less its accumulated depreciation. Land is a fixed asset that does not depreciate.
5. A summary of adjustments, including the type of adjustment, reason for the adjustment, the adjusting entry, and the effect of omitting an adjustment on the financial statements, is shown in [Exhibit 6](#).
6. After all of the adjusting entries have been posted, the equality of the total debit balances and the total credit balances is verified by an adjusted trial balance.
7. Vertical analysis compares each item on a financial statement with a total amount from the same statement. It is useful in analyzing relationships within the financial statement. In vertical analysis of a balance sheet, each asset item is stated as a percent of the total assets. Each liability and stockholders' equity item is stated as a percent of total liabilities and stockholders' equity. In vertical analysis of an income

statement, each item is stated as a percent of total revenues or fees earned.

Chapter 3: The Adjusting Process: 3-7 Chapter Review

Book Title: Financial and Managerial Accounting

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